Mindteck, Inc.

Financial statements

March 31, 2013 and 2012

(With Independent Auditors' Report thereon)

MINDTECK INC.

Financial Statements

March 31, 2013 and 2012

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KPMG (Registered)
Maruthi Info-Tech Centre
11-12/1 Inner Ring Road
Koramangala
Bangalore 560 071 India

Telephone +91 80 3980 6000
Fax +91 80 3980 6999
Internet www.in.kpmg.com

Independent Auditors' Report

The Board of Directors
Mindteck (India) Limited:

At the request of Mindteck (India) Limited, we have audited the accompanying financial statements of Mindteck, Inc. ("the Company"), which comprise the balance sheets as at March 31, 2013 and 2012, the statements of operations and comprehensive income, changes in stockholders' equity and cash flows for the years then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at March 31, 2013 and 2012, and of its financial performance and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

KPMG

KPMG

Bangalore, India

July 30, 2013

MINDTECK, INC.
BALANCE SHEETS
(In United States Dollars, except share data)

Assets	As of March 31, 2013	As of March 31, 2012
Current assets:		
Cash and cash equivalents	31	494,603
Accounts receivable, from affiliates (Notes 3 &10)	456,623	742,983
Accounts receivable, net of allowances (Note 3)	6,893,912	5,122,608
Unbilled revenue	1,289,230	1,273,518
Loan to affiliates	185,960	185,960
Deferred income tax asset (Note 9)	-	145,119
Income taxes receivable	94,025	70,747
Other current assets (Note 4)	49,661	87,095
Total current assets	**8,969,442**	**8,122,633**
Property, plant and equipment, net (Note 5)	44,937	123,950
Goodwill (Note 6)	2,219,224	2,219,224
Deposits	10,205	10,205
Deferred income tax asset (Note 9)	-	310,236
Total assets	**11,243,808**	**10,786,248**
Liabilities and Stockholders' equity		
Current liabilities:		
Accounts Payable	1,608,961	811,281
Accounts payable to affiliates (Note 10)	1,154,326	926,025
Short-term borrowings (Note 7)	75,692	-
Other current liabilities (Note 8)	1,617,017	1,905,525
Unearned revenue	117,245	32,182
Compensated absences	397,821	339,418
Total current liabilities	**4,971,062**	**4,014,431**
Income taxes payable	1,114,097	1,062,097
Deferred income tax liability (Note 9)	387,748	-
Total liabilities	**6,472,907**	**5,076,528**
Stockholders' equity		
Common stock, $1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,120,139	8,117,896
Accumulated deficit	(3,368,238)	(2,427,176)
Total stockholders' equity	**4,770,901**	**5,709,720**
Total liabilities and stockholders' equity	**11,243,808**	**10,786,248**

See accompanying notes to financial statements.

MINDTECK, INC.
STATEMENTS OF OPERATIONS AND COMPREHENSIVE INCOME
(In United States Dollars)

	Year ended March 31, 2013	Year ended March 31, 2012
Revenues	40,957,818	38,924,216
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(35,644,501)	(34,221,871)
Selling, general and administrative expenses (excluding depreciation and amortization)	(5,250,757)	(5,655,032)
Depreciation and amortization (Note 5)	(83,173)	(144,046)
Total operating expenses	**(40,978,431)**	**(40,020,949)**
Operating loss	**(20,613)**	**(1,096,733)**
Other income	3,114	10,818
Interest expense	(2,460)	(4,987)
Loss before income taxes	**(19,959)**	**(1,090,902)**
Income taxes (Note 9)	(921,103)	342,262
Net loss	**(941,062)**	**(748,640)**
Other comprehensive income	-	-
Comprehensive loss	**(941,062)**	**(748,640)**

See accompanying notes to financial statements.

MINDTECK, INC.
STATEMENTS OF STOCKHOLDERS' EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional Paid- in Capital	Accumulated deficit	Accumulated Other Comprehensive income	Total Stock holders' equity
	Number of shares	Amount				
Balances at April 1, 2011	19,000	19,000	8,115,539	(1,678,536)	-	6,456,003
Stock compensation expense [Note 11]	-	-	2,357	-	-	2,357
Net loss	-	-	-	(748,640)	-	(748,640)
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2012	**19,000**	**19,000**	**8,117,896**	**(2,427,176)**	-	**5,709,720**
Stock compensation expense [Note 11]	-	-	2,243	-	-	2,243
Net income / (loss)	-	-	-	(941,062)	-	(941,062)
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2013	**19,000**	**19,000**	**8,120,139**	**(3,368,238)**	-	**4,770,901**

See accompanying notes to financial statements.

MINDTECK, INC.
STATEMENTS OF CASH FLOW
(In United States Dollars)

	Year ended March 31, 2013	Year ended March 31, 2012
Cash flows from operating activities:		
Net income / (loss)	(941,062)	(748,640)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	83,173	144,046
Stock compensation expense	2,243	2,357
Deferred income tax (benefit) / expense	843,103	(61,528)
Changes in operating assets and liabilities		
Accounts receivable and unbilled revenue	(1,500,656)	3,062,124
Other assets	37,434	(8,440)
Income taxes	28,722	(296,750)
Accounts payable	1,025,981	(1,623,068)
Other liabilities	(145,042)	21,040
Net cash (used in)/ provided by operating activities	**(566,104)**	**491,141**
Cash flows from investing activities:		
Expenditure on property, plant and equipment	(4,491)	(6,802)
Proceeds from sale of property, plant and equipment	331	8,899
Net cash from / (used in) investing activities	**(4,160)**	**2,097**
Cash flows from financing activities:		
Short-term borrowings from Citizen Bank	75,692	-
Net cash from financing activities	**75,692**	-
Net changes in cash and cash equivalents	**(494,572)**	**493,238**
Cash and cash equivalents at beginning of year	494,603	1,365
Cash and cash equivalents at end of year	**31**	**494,603**
Supplementary information:		
Cash paid for interest	3,120	5,501
Income taxes paid	49,278	58,953

See accompanying notes to financial statements.

1. Organization and description of the business

Mindteck, Inc. ("the Company"), is a software development and consulting company headquartered in Enola, Pennsylvania. The Company was incorporated in November 1995 and is a wholly owned subsidiary of Mindteck (India) Limited ('MIL').

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements:

The accompanying financial statements have been prepared in conformity with U.S. Generally Accepted Accounting Principles (U.S. GAAP).

(b) Use of estimates:

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of property and equipment and intangible assets and income tax valuation allowances. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

The Company derives its revenues primarily from software development and technical consultancy services. Software development and technical consultancy services are performed under both time-and-material and fixed-price arrangements. Revenues are recognized as the services are rendered for time-and-material contracts and for fixed fee arrangements, on a proportional performance basis based on actual direct costs in relation to total estimated costs. Revenues are recognized when persuasive evidence of an arrangement exists, the sales price is fixed or determinable and collectability is reasonably assured.

Revenues are recognized net of value added tax, service tax and applicable discounts.

The Company records reimbursable out-of-pocket expenses in both revenues and as cost of revenue.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Interest income is recognized using the time proportion method, based on the transactional interest rates.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(In United States Dollars, except where otherwise stated)

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, billed and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and billed and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions. The accounts receivable, net of allowances, amounted to USD 7,350,535 and USD 5,865,591 as of March 31, 2013 and 2012 respectively. Two customers accounted for 22% and 14% of total revenues in 2013 and accounted for 28% and 4% of total revenues in 2012. The amounts due from these customers accounted for 25% and 9% of accounts receivable as of March 31, 2013 and 21% and 6% as of March 31, 2012.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected.

(f) Property, plant and equipment, net:

Property, plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. The Company depreciates property, plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	**Useful life**
Computer and office equipment	3 years
Software	5 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

(g) Business combinations, goodwill and intangible assets:

The Company accounts for its business combinations by recognizing the identifiable tangible and intangible assets and liabilities assumed, and any non-controlling interest in the acquired business, measured at their acquisition date fair values. Fair value of contingent consideration is included in the purchase consideration and transaction costs are expensed as incurred.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.

Intangible assets acquired individually, with a group of other assets or in a business combination are carried at cost less accumulated amortization.

(h) Impairment or disposal of long-lived assets:

Long-lived assets to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value. The Company measures long-lived assets held-for-sale, at the lower of carrying amount or fair value, less costs to sell.

(i) Income taxes:

Income taxes are account for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of operations in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates.

(k) Foreign currency translation:

The Company's functional currency and reporting currency is the United States Dollar (USD/$). Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

(In United States Dollars, except where otherwise stated)

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks–based payments awards based on the grant date fair value of those awards.

For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

3. Accounts receivable, net of allowances:

Accounts receivable, net of allowance consists of:

	2013	**2012**
Due from related parties (Refer Note 10)	**456,623**	**742,983**
Others		
Accounts receivable, gross	6,893,912	5,174,463
Less: Allowance for doubtful accounts	-	51,855
Accounts receivable, net of allowances	**6,893,912**	**5,122,608**

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	2013	**2012**
Allowance at the beginning of the year	51,855	46,379
Write-off	(51,855)	(46,379)
Provided during the year	-	51,855
Allowance at the end of the year	-	**51,855**

4. Other current assets:

Other current assets consist of the following:

	2013	**2012**
Prepaid expenses	28,512	55,321
Advances to suppliers and others	10,544	21,169
Deposits – Current	10,605	10,605
	49,661	**87,095**

(In United States Dollars, except where otherwise stated)

5. Property, plant and equipment, net:

Property, plant and equipment, net consist of the following:

	2013	2012
Computer equipment	301,782	318,285
Furniture and fixtures & office equipment	218,009	215,483
Leasehold improvements	146,496	144,532
	666,287	**678,300**
Accumulated depreciation	(621,350)	(554,350)
	44,937	**123,950**

Depreciation expense amounted to USD 83,173 and USD 144,046 for the years ended March 31, 2013 and 2012 respectively.

6. Goodwill:

Goodwill of $ 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the market approach and the discounted cash flow approach. No impairment was identified as of March 31, 2013 and 2012.

7. Borrowings from bank:

On December 19, 2008, the Company entered into a revolving line of credit with Citizens Bank that permitted the Company to draw up to USD 2,000,000 through 2013, bearing interest at LIBOR plus the applicable margin, which ranges from 1.25% to 2%, based on the total funded debt to EBITDA ratio. The Company must also pay an unused fee, calculated based on the same ratio and ranges from 0.10% to 0.25%. The applicable interest rate and unused fee as of March 31, 2013 were 2.20% and 0.25% respectively. At March 31, 2013, the Company had USD 1,924,308 available under this facility.

Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company. MIL, the parent company, has issued a corporate guarantee of USD 2,000,000 on behalf of the Company, to Citizens Bank towards the line of credit facility. The agreement contains financial covenants and restrictions on indebtedness. The Company has complied with all the convenants as of March 31, 2013. The interest and unused fee amounting to USD 2,387 and USD 4,987 for the years ended March 31, 2013 and 2012 respectively on the above facility have been charged to interest expense.

8. Other current liabilities:

Other current liabilities consist of:

	2013	2012
Accrued expenses	1,528,375	1,821,739
Statutory liabilities	88,642	83,786
	1,617,017	**1,905,525**

(In United States Dollars, except where otherwise stated)

9. Income taxes:

The income tax expense during the years ended March 31, 2013 and 2012 consist of the following:

	2013	2012
Current taxes		
Federal	52,000	(271,455)
State	26,000	(9,279)
	78,000	**(280,734)**
Deferred taxes		
Federal	666,310	2,398
State	176,793	(63,926)
	843,103	**(61,528)**
Income tax expense (benefit)	**921,103**	**(342,262)**

Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 34% primarily due to interest charge recognized as per the guidelines of ASC 740 and change in valuation allowance.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2013 and 2012 are as follows:

	2013	2012
Deferred tax assets:		
Bad debt reserve	-	19,659
Carry forward business losses	1,408,614	1,195,336
Intangible assets	280,073	342,595
Accrued expenses and liabilities	168,741	261,448
Property and equipment	39,907	17,259
Others	53,398	55,224
Total gross deferred tax asset	1,950,733	1,891,521
Less: Valuation allowance	(1,950,733)	(1,102,771)
Total deferred tax assets	-	788,750
Deferred tax liabilities:		
Goodwill	(387,748)	(333,395)
Net deferred tax asset / (liability)	**(387,748)**	**455,355**
Classified as		
Deferred tax asset – Current	-	145,119
Deferred tax asset – Non-current	-	310,236
Deferred tax liability – Non-current	387,748	-

9. Income taxes (continued):

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realised. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2013 and 2012. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 1,950,733 and USD 1,102,771 as at March 31, 2013 and March 31, 2012 respectively representing an increase in valuation allowance of USD 847,962 on deferred tax assets related to the net operating loss carry forward of the erstwhile Mindteck USA Inc. prior to its merger with the Company. Management believes that it is more likely than not that the Company will not be able to utilize the deferred tax asset.

As of March 31, 2013 and 2012, the Company has federal and state net operating loss carry forwards of USD 5,129,560 and USD 4,199,428 respectively available to offset future taxable income, which expire in various years beginning in 2017.

As of March 31, 2013 and 2012, the liability for unrecognized tax benefits was USD 1,114,097 and USD 1,062,097 including accrual for interest of USD 185,359 and USD 133,359, respectively.The Company recorded interest of USD 52,000 for the year ended March 31, 2013.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination. With few exceptions, the state filings are no longer subject to examination by the tax authorities for years before 2009. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

(In United States Dollars, except where otherwise stated)

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	2013	2012
Expenses incurred by the Company and reimbursed by:		
a) Mindteck (India) Limited – holding company	237,329	332,385
b) Mindteck UK Limited - fellow subsidiary	3,848	1,536
c) Mindteck Singapore Pte Ltd– fellow subsidiary	899	7,381
d) Minteck Germany GmbH– fellow subsidiary	207,714	65,560
e) Mindteck Middle East Limited SPC -fellow subsidiary	512	-
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	8,146,196	9,067,455
b) Mindteck Singapore Pte Ltd– fellow subsidiary	923,513	159,252
c) Mindteck UK Limited - fellow subsidiary	471,233	620,561
Reimbursement by the Company of the expenses incurred by:		
a) Mindteck (India) Limited – holding company	1,170,100	722,392
b) Mindteck Singapore Pte Ltd– fellow subsidiary	25,229	-
c) Mindteck UK Limited - fellow subsidiary	88,574	-

The balances receivable from and payable to related parties as at March 31, 2013 and 2012 are as follows:

Accounts receivable

	2013	2012
Mindteck (India) Limited – holding company	170,160	446,157
Mindteck Germany GmbH– fellow subsidiary	87,166	11,000
Mindteck Singapore Pte Ltd– fellow subsidiary	-	7,381
Mindteck UK Limited - fellow subsidiary	198,346	278,007
Mindteck Middle East Limited SPC -fellow subsidiary	951	438
Total	**456,623**	**742,983**

Accounts payables

	2013	2012
Mindteck (India) Limited – holding company	1,033,714	866,335
Mindteck UK Limited - fellow subsidiary	44,661	47,500
Mindteck Singapore Pte Ltd– fellow subsidiary	75,951	12,190
Total	**1,154,326**	**926,025**

Loans	2013	2012
Loan to affiliate *(Mindteck Middle East Limited SPC – fellow subsidiary)*	185,960	185,960

The loans to affiliates is interest-free and repayable on demand.

(In United States Dollars, except where otherwise stated)

11. Stock option plan

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.21 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of five years from the date of vesting.

The Company has granted 36,000 options during the year ended March 31, 2013 and 93,600 options during the year ended March 31, 2012.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price ($)	
	2013	2012	2013	2012
Outstanding at the beginning of the year	110,700	48,800	0.49	1.03
Granted during the year	36,000	93,600	0.30	0.38
Forfeited and lapsed during the year	(51,600)	(31,700)	0.54	0.93
Exercised during the year	-	-	-	-
Outstanding at the end of the year	95,100	110,700	0.32	0.49
Exercisable at the end of the year	19,700	17,100	0.33	1.05

The following table summarizes information relating to stock options outstanding under the Option Scheme 2005 as of March 31, 2013 and 2012:

Exercise price ($)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2013	2012	2013	2012	2013	2012
0.35	44,100	17,100	6.36	2.84	-	-
0.28	15,000	78,600	6.84	6.36	19,700	17,100
0.30	36,000	15,000	7.09	6.84	-	-
	95,100	**110,700**			**19,700**	**17,100**

During the year ended March 31, 2013 and 2012, the Company recognized approximately USD 2,243 and USD 2,357 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(In United States Dollars, except where otherwise stated)

11. Stock option plan (continued)

The Company has granted 36,000 shares during the year ended March 31, 2013 and 93,600 shares during the year ended 31 March 2012. The per share weighted average fair value of stock options granted during the year ended March 31, 2013 and 2012 were USD 0.32 and USD 0.15 respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholess option pricing model with the following assumptions:

	2013	**2012**
Dividend yield	5%	5-10%
Expected term	4 years	3.5 – 5.5 years
Risk free interest rate	7- 9%	7- 9.5%
Volatility	54 -55 %	53–55%

The unamortized stock compensation cost relating to unvested options as at March 31, 2013 and March 31, 2012 amounts to USD 11,136 and USD 9,733 respectively. The total fair value of shares vested was USD NIL and USD NIL during the years ended March 31, 2013 and 2012.

12. Commitments and contingencies

Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2013, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2014	217,025
Year ending March 31, 2015	172,504
Total	**389,529**

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 247,130 and USD 273,844 for the years ended March 31, 2013 and 2012 respectively.

Capital Commitments

There were no capital commitments as of March 31, 2013 and 2012.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

13. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the board of directors.

14. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2013 and July 30, 2013, the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements.